

MENTORSHIP WITH ASTA

THE JOURNEY FROM
PASSION

TO

PROFESSION



Ichimoku Cloud

SURROUND YOURSELF WITH



THOSE ON THE SAME MISSION AS YOU

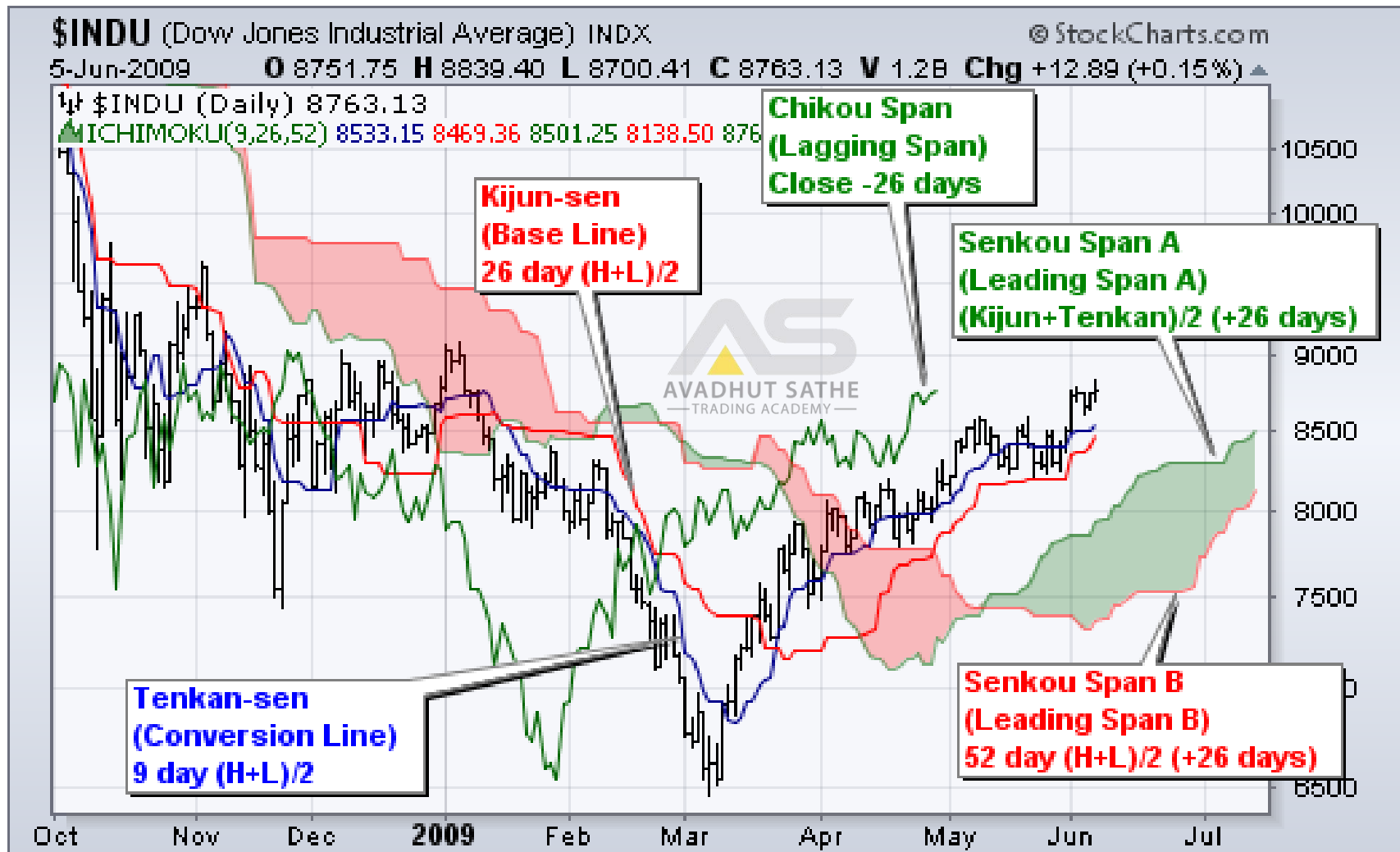
Ichimoku Cloud parameters

- **Tenkan-sen (Conversion Line): $(9\text{-period high} + 9\text{-period low})/2$)** The default setting is 9 periods (Short term Indicator)
 - On a daily chart, this line is the mid point of the 9 day high-low range, which is almost two weeks.
 - when becomes flat, it indicates consolidation and word of caution.. stock not in momentum.
- **Kijun-sen (Base Line): $(26\text{-period high} + 26\text{-period low})/2$)** The default setting is 26 period (Medium term Indicator)
 - On a daily chart, this line is the mid point of the 26 day high-low range, which is almost one month).
 - Typically stronger support / resistance
- **Senkou Span A (Leading Span A): $(\text{Conversion Line} + \text{Base Line})/2$)**
This is the midpoint between the Conversion Line and the Base Line.
 - The Leading Span A forms one of the two Cloud boundaries. It is referred to as "Leading" because it is plotted 26 periods in the future and forms the faster Cloud boundary.
- **Senkou Span B (Leading Span B): $(52\text{-period high} + 52\text{-period low})/2$)**
On the daily chart, this line is the mid point of the 52 day high-low range, which is a little less than 3 months. The default calculation setting is 52 periods.
 - This value is plotted 26 periods in the future and forms the slower Cloud boundary.

Ichimoku Cloud parameters

- Chikou Span (Lagging Span): Closing Price plotted 26 days in the past
 - The default setting is 26 periods.
 - It is like shadow of the price plotted in the past
- Kumo Cloud : Green when Senkou A above B ... and Red when other way.
 - Cloud acts as support and resistance.
 - Price above the cloud is bullish i.e. follow buy signals i.e. follow buy signals from tankan-sen (Conversion line) positive crossover with Kijun-sen (baseline)
 - Price below the cloud is bearish setup i.e. follow sell signal from Tenkan-Sen and Kijun-sen (negative crossover)
 - Also tells future major support and resistances (Kumo future)
 - Flat cloud boundaries also known as flat beds are major support and resistance zones.

How to spot them in chart



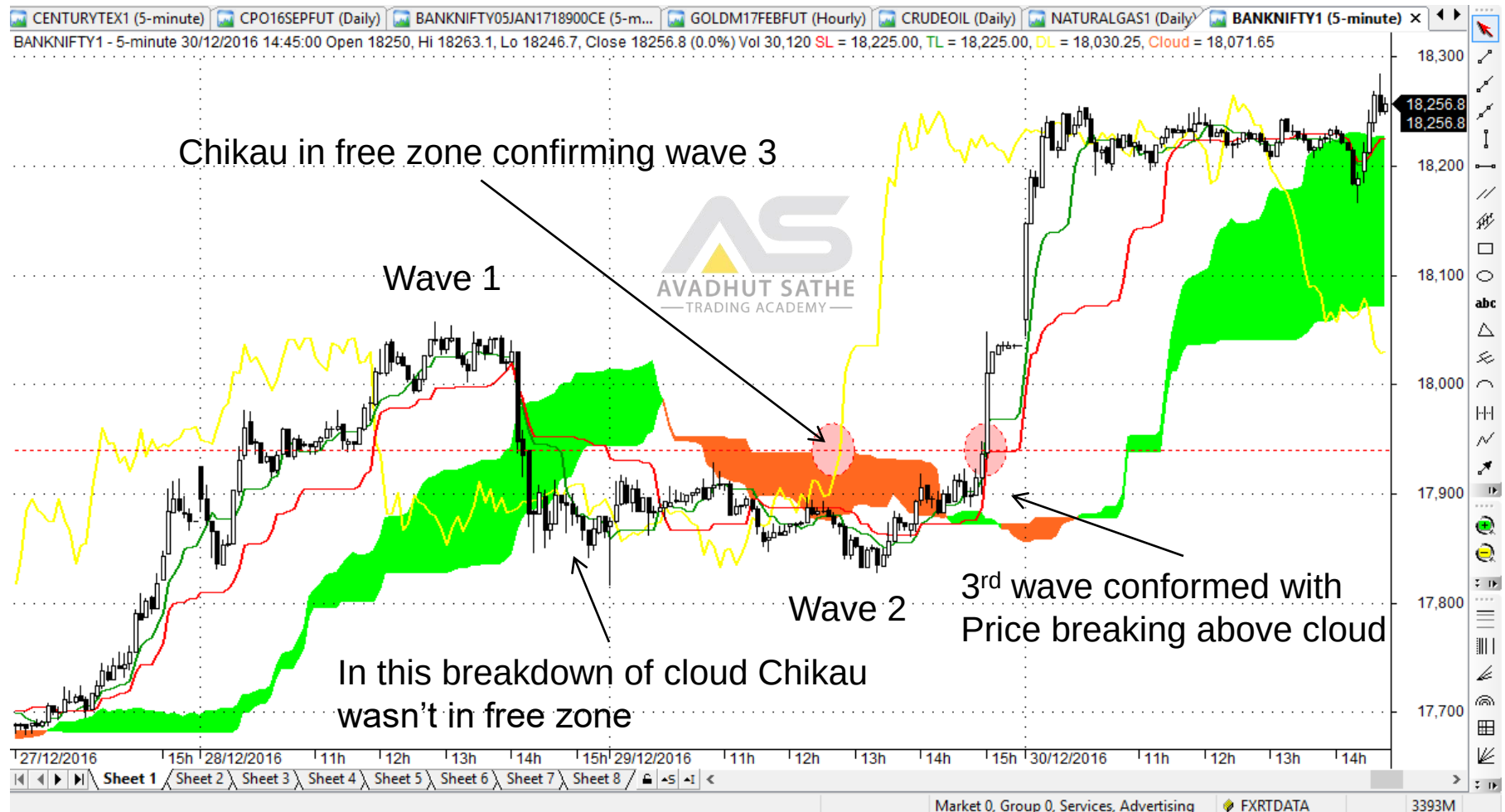
Ichimoku - Utility

- Easy trades are trending stocks or commodities.
- Ichimoku helps identify trending stocks in momentum.
- Helps to avoid stocks in sideways mode.
- For swing traders - Helps to buy stocks at cloud supports.
- **It is good ONLY for Trending Stocks.. Not for bottom or top fishing**
- It can frustrate you in ranging stocks or markets taking out your stop losses on either side.
- Best indicator to confirm potential breakouts.. apply along with ADX, BB, Candle patterns with PAPA concepts of fake vs. genuine breakouts.
- Also Cloud helps to confirm Elliott counts.
- Usually 2nd wave takes support (or resistance in bear case) at the Flat cloud boundary.
- Usually 4th wave goes sideways and touches the cloud boundary or remains above the cloud with typically **THICK** futures cloud!
- Last but not the Least – **Clouds help you be a contrarian..** You see things which others don't see... For e.g. you can spot major bullish turnarounds while rest of the world is still bearish, when price takes support near thick green cloud.

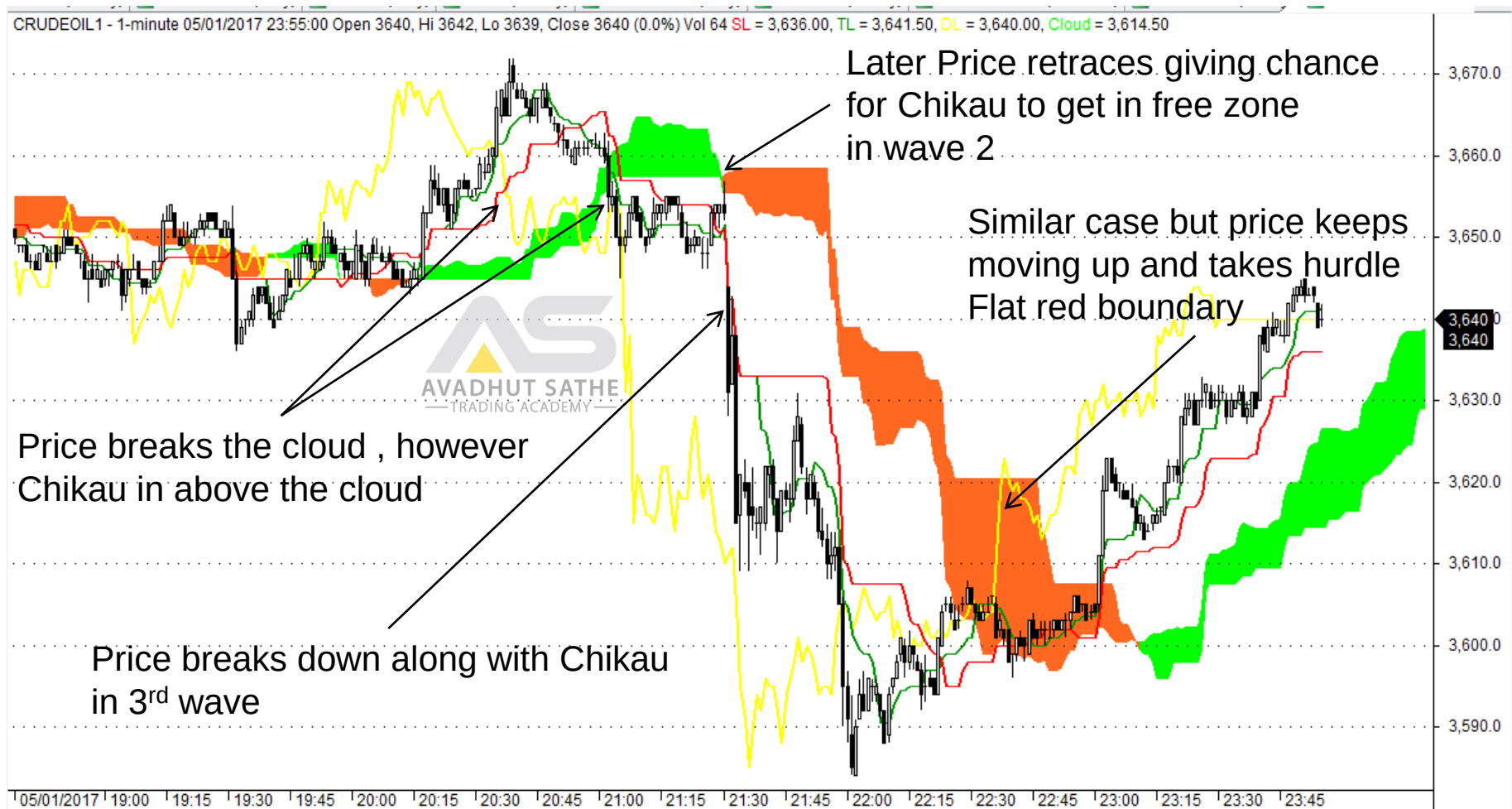
Chikau

- Chikau is shadow of the price plotted in the past.
- How to use Chikau : When Breakout happens (price breaking above the cloud), the Chikau should be in free zone AND above the Cloud. Ideally it should not be within or below the cloud (for bullish breakouts)
- **In 3rd of 3rd waves, Chikau is ALWAYS in free zone.**
- Be alert when price breaks the cloud on downside but Chikau is either stuck in price or is above the cloud... and vice versa. Usually (not always) there will be a retracement post such breakouts / breakdowns

Bank Nifty – Chikau breakout in 5 min



Chikau vs Price



Conversion & Base Lines - Utility

- **How to use Conversion line and Base line crossovers**
 - Bullish crossover below cloud is weak buy signal..
 - Bearish crossover above cloud is weak sell signal
 - If price is below the cloud confirming downtrend, and if conversion line does negative crossover AFTER a weak buy signal then its strongly bearish signal
 - Example : SSLT – there was a weak buy signal followed by confirmed buy signal
 - Example Cairn – it broke below the cloud in July 2014.. Later it gave weak buy signal in July and strong sell signal later in Sept (after evening star). See chart below for Cairn weak buy and strong sell signals

Example – Strong Sell



Century Textile Hourly

- Concept can be followed in any timeframe



Using Ichimoku for Options Trading

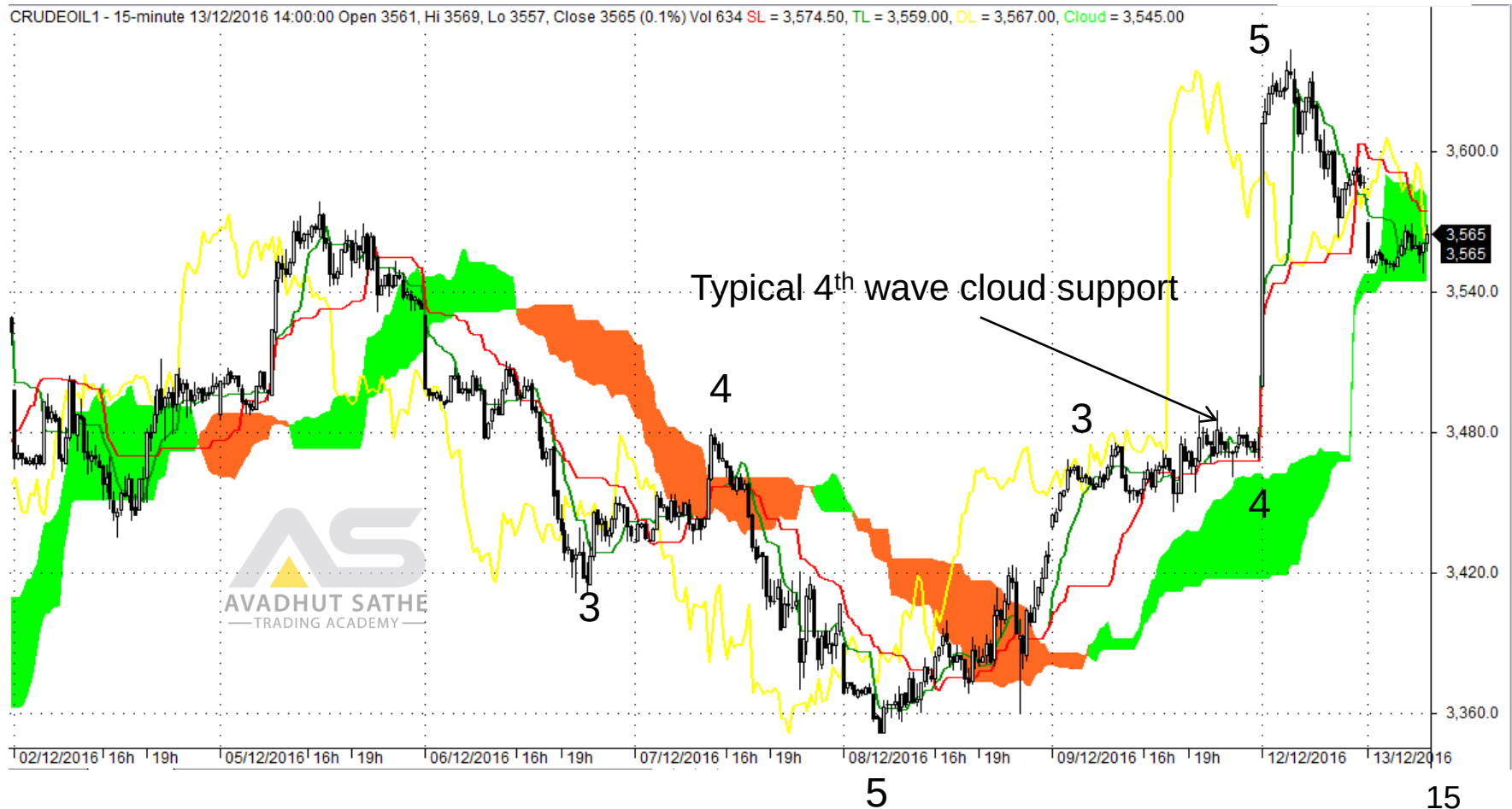
- On a counter trend rally / dip near the cloud boundary , one can sell Call / Put options of ATM strike price equivalent to the boundary. Stop Loss for the same would be boundary ... why? It can be a breakout above the cloud.
- Flatter the boundary stronger the signal !
- Thicker the Cloud, stronger the resistance / support
- Future cloud should support the trade.. e.g. red cloud for selling Calls and green for selling puts
- Also check higher time frames e.g. Weekly to confirm your trade decision

Selling options : ITC weekly chart



Ichinoku & 4th waves

- In 4th waves, typically price takes support of thick cloud



Key Points to Remember

- Keep it Simple
- Remember its best for riding the trend or catching a new trend.
- Avoid when you have no clarity or in choppy / ranging market conditions
- Use Clouds only for view building and conviction building about breakouts & wave counts
- **PAPA always PRE-PAY: Prevails & Pays!**